No. CAAP-22-0000268
IN THE INTERMEDIATE COURT OF APPEALS
STATE OF HAWAI‘I

PUALANI KANAKA‘OLE KANAHELE,
EDWARD HALEALOHA AYAU, KELI‘I W. IOANE, JR.,
Plaintiffs-Appellants,
v.
STATE OF HAWAI‘I; DEPARTMENT OF TRANSPORTATION; JADE BUTAY, in his official capacity as director of the Department of Transportation; DEPARTMENT OF LAND AND NATURAL RESOURCES; SUZANNE CASE, in her official capacity as the director of the Department of Land and Natural Resources; DEPARTMENT OF HAWAIIAN HOME LANDS; HAWAIIAN HOMES COMMISSION; WILLIAM J. AILA, JR., in his official capacity as the Director of the Department of Hawaiian Home Lands and Chair of the Hawaiian Homes Commission; PATRICIA A. KAHANAMOKU-TERUYA, RANDY K. AWO, PAULINE N. NAMU’O, ZACHARY Z. HELM, DENNIS L. NEVES, MICHAEL L. KALEIKINI, RUSSELL K. KAUPU, and DAVID B. KA’APU, in their official capacities as members of the Hawaiian Homes Commission,
Defendants-Appellees.

CIVIL NO. 1CCV-20-0000235 APPEAL FROM THE FIRST CIRCUIT COURT, appeal from (1) Final Judgment, filed and entered on March 17, 2022; (2) Order Denying Plaintiffs’ Motion for Partial Summary Judgment, filed November 5, 2021; and (3) Amended Order Denying Plaintiffs’ Motion for Partial Summary Judgment, filed February 10, 2022
HONORABLE LISA W. CATALDO
Judge

STATE OF HAWAII’S ANSWERING BRIEF

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I. INTRODUCTION

The core premises of Plaintiffs' breach of trust claims are that the State is not permitted to operate a public highway – Mauna Kea Access Road (MKAR) – on Hawaiian home lands and must compensate the Hawaiian home lands trust for the past use of trust lands for that road. But Plaintiffs are re-litigating a controversy that the Legislature explicitly brought to final resolution through Act 14 of 1995 (Act 14): the uncompensated use of Hawaiian home lands for public purposes.

Even assuming arguendo that the construction and use of MKAR on Hawaiian home lands was improper, the land exchanges initiated by Act 14 were a final resolution of all claims regarding uncompensated use of Hawaiian home lands for state roads and highways. In the Legislature's exact words, Act 14 had "the effect of res judicata" as to breach of trust claims that arose prior to July 1, 1988. There is no question that MKAR was in use as a public road – built and paid for by the State of Hawai‘i – long before July 1, 1988. So, there is no question that any breach of trust claims regarding the public use of MKAR were resolved by Act 14.

Nor can Plaintiffs avoid Act 14 as a bar to their claims by focusing on the Department of Transportation's (DOT) 2018 designation of MKAR as a state highway, which changed the jurisdiction over MKAR from the County of Hawai‘i to the State. The governmental entity – state or county – that had jurisdiction over MKAR at any given time is of no consequence to whether Act 14 bars Plaintiffs' claims, given that the uncompensated use and status of MKAR as a public road both unquestionably began before July 1, 1988. Even more confounding is that, in seeking a court order returning MKAR to the "exclusive control" of the DHHL, Plaintiffs have declined to seek the one remedy that Act 14 left available to them; to wit, enforcement of Act 14's land exchange provisions.

In addition to being barred by Act 14, Plaintiffs' claims fail at the outset for a separate, additional legal reason. Plaintiffs' claims are barred by the State's sovereign immunity pursuant to Act 395 of 1988 (Act 395), which expressly preserved the State's immunity for breach of trust

claims arising before July 1, 1988, and for those relating to governmental activity beginning prior to that date and continuing after. For these reasons, explained fully below, this Court should affirm.

II. COUNTER STATEMENT OF THE CASE

A. Factual Background

1. *The Hawaiian Homes Commission Act and the Hawaiian Home Lands*

Congress enacted the Hawaiian Homes Commission Act 1920 (HHCA)[1] in 1921, creating a land trust "that was intended to rehabilitate the native Hawaiian people by, inter alia, making them eligible to receive the benefits of homesteading through leased land and related programs from the trust." *Kalima v. State*, 111 Hawai‘i 84, 87, 137 P.3d 990, 993 (2006). The HHCA set aside over 200,000 acres of land for the land trust, which are known as the Hawaiian home lands. *Ahuna v. Dep't of Hawaiian Home Lands*, 64 Haw. 327, 337, 640 P.2d 1161, 1167–68 (1982). Upon entry into the union in 1959, the State of Hawai‘i took title to the Hawaiian home lands, at the same time assuming responsibility for the "management and disposition" of the lands, *Kepo‘o v. Watson*, 87 Hawai‘i 91, 97, 952 P.2d 379, 385 (1998), and the fiduciary obligation to the native Hawaiian people established by the HHCA. *Ahuna*, 64 Haw. at 338, 640 P.2d at 1168. In other words, while "the State is bound by its fiduciary duty to the Native Hawaiian beneficiaries, . . . both legal title and management responsibilities over the land are still in the hands of the State." *Kepo‘o*, 87 Hawai‘i at 97, 952 P.2d at 385.

The State implements its fiduciary duties under the HHCA through the Department of Hawaiian Home Lands (DHHL, or the Department), which is headed by a state board called the Hawaiian Homes Commission (the Commission). HHCA § 202.

2. *The Humu‘ula Mauka Hawaiian Home Lands and the Mauna Kea Access Road*

Section 203 of the HHCA described various parcels of land to be set aside as "available lands," and designated as Hawaiian home lands. HHCA § 203. Relevant here, section 203(1) of

[1] Hawaiian Homes Commission Act 1920 (Act of July 9, 1921, c. 42, 42 Stat. 108).

the Act required the Department to select 53,000 acres from Humu‘ula Mauka on Hawai‘i Island. HHCA § 203(1). In June 1929, the Commission duly selected 49,100 acres from Humu‘ula Mauka. ROA Dkt. 94 at PDF 69-70 (Commission Resolution No. 5).[2]

At the time of their designation, the Humu‘ula Mauka trust lands were controlled by the Territory's Commission on Public Lands and leased by Parker Ranch. ROA Dkt. 94 at PDF 79. The HHCA, in section 204, permitted lands designated as Hawaiian home lands to be held and managed by the Commission on Public Lands (or the Board of Land and Natural Resources following statehood) if they were not immediately required for the HHCA's purpose. *See* HHCA § 204. The Humu‘ula Mauka home lands continued to be held under BLNR's control and leased to Parker Ranch until 1976. ROA Dkt. 94 at PDF 79-81; *see also* Opening Brief (OB) at 3.

Although a road to the summit of Mauna Kea has existed since 1964, much of it was originally a dirt "jeep road." *See* ROA Dkt. 86 at PDF 8. Under the State's direction, MKAR underwent several improvement projects while the land was still under BLNR's control. *See* OB at 4. In 1967, the State Legislature appropriated $2,440,000 for projects on Mauna Kea, including the "planning, construction, and equipping" of MKAR. 1967 Haw. Sess. Laws Act 217, § 1 at 292. And in 1970, the Legislature appropriated another $2,298,000 for further improvements to MKAR, specifically the "[c]onstruction of a two-lane highway from the Saddle Road in vicinity of Puu Huluhulu to the summit by way of Hale Pohaku."[3] 1970 Haw. Sess. Laws Act 187, § 1 at 413. Notably, this was listed in Act 187 as a "highways" appropriation. *Id.*

The State's construction of the "two-lane highway" was completed by 1974, and in December of that year, the County of Hawai‘i took over maintenance of the road. ROA Dkt. 94

[2] All citations to CAAP Dkt. #19, the Record on Appeal, shall be as follows: ROA Dkt. [circuit court docket number] at PDF [page number in electronic PDF document], followed by a description of the document in parentheses where relevant.

[3] The portion of the MKAR at issue in this case, i.e., the part that is located on the Humu‘ula Mauka Hawaiian home lands, is below Hale Pohaku. In other words, all parts of MKAR relevant here are situated between Saddle Road and Hale Pohaku. *See* OB at 4 and n.3.

at PDF 77. Two years later, at the Commission's request, BLNR transferred management of the Humu'ula Mauka lands back to DHHL. ROA Dkt. 94 at PDF 62-64.

In 1983, the Commission conveyed the section of the MKAR on Hawaiian home lands to the County of Hawai'i for maintenance purposes, ROA Dkt. 94 at PDF 87 (County of Hawai'i Resolution), and the County accepted the road into its inventory. *Id.* The MKAR remained a county highway from 1983 until March 2018, when the Department of Transportation designated the 6.27 miles of Mauna Kea Access Road from the intersection with Daniel K. Inouye Highway to a point 125 feet past the Visitor Information Center as a State Highway, Route 210. *See* ROA Dkt. 87 at PDF 23 (DOT Highways Division Memorandum).

3. *Act 395 and the Governor's Action Plan to Address Controversies Arising Prior to July 1, 1988*

In 1988, the State Legislature passed the Native Hawaiian Trusts Judicial Relief Act, or Act 395. 1988 Haw. Sess. Laws Act 395, at 942-45 (Act 395). Act 395 provided a limited waiver of the State's sovereign immunity for "any breach of trust or fiduciary duty resulting from the acts or omissions of its agents, officers and employees in the management and disposition of trust funds and resources of . . . [t]he Hawaiian home lands trust . . . ." *Id.* §2, at 943.[4] This waiver of immunity, however, applied only to causes of action accruing after Act 395's effective date, or July 1, 1988. *Id.* §3; *see also* 1995 1st Spec. Sess. Laws Act 14 § 1, at 696 ("Act 395 . . . provided a limited waiver of sovereign immunity for breaches of the Hawaiian home lands trust from July 1, 1988 forward.").

In addition, Act 395 expressly preserved the State's sovereign immunity as any continuing governmental activities that had begun prior to July 1, 1988:

> No action shall be maintained under this Act for any existing projects, programs, or any other governmental activities which are continuing, and which were begun, completed, or established prior to July 1, 1988.

[4] For such claims, Act 395 also required any party filing suit to "exhaust[] all administrative remedies available," and to give "not less than sixty days written notice prior to filing of the suit that unless appropriate remedial action is taken suit shall be filed." 1988 Haw. Sess. Laws Act 395 § 2, at 943-44. The Act also established a two-year statute of limitations for breach of trust claims. *Id.* §2, at 944. Act 395 was partially later codified as HRS chapter 673.

Id. §4, at 945.

Act 395 also sought to address past controversies that arose prior to July 1, 1988, albeit in a different fashion. Act 395 required the Governor to "present a proposal to the legislature" regarding resolution of those controversies. *Id.* §5, at 945. In the event the Governor did not present a proposal or the Governor's proposal were rejected, and no other means of resolving such controversies was established, the Act provided that there would be a right to sue for breach of trust claims arising prior to July 1, 1988. *Id.*

In 1991 the Governor presented to the Legislature the Governor's Action Plan to Address Controversies under the Hawaiian Home Lands Trust and the Public Land Trust. ROA Dkt. 94 at PDF 101-216. Among other things, the Action Plan proposed convening a task force comprised of representatives from DHHL, DLNR, the Office of State Planning, and the Department of the Attorney General[5] to accelerate decision making concerning "DHHL's land title and related compensation claims which are based on illegal, improper or unauthorized withdrawals, transfers, takings or uses of Hawaiian home lands." *Id.* at PDF at 146-47.

The Action Plan laid out some of the past and ongoing issues regarding governmental use of land designated as Hawaiian home land, including transfers of Hawaiian home lands "for uses such as airports, schools, parks, military installations and other public projects." ROA Dkt. 94 at PDF 142 (Governor's Action Plan). It noted past and ongoing governmental use of Hawaiian home lands for, *inter alia*, "water tank sites, road easements . . .[,] a transportation baseyard," *id.*, and stated that it planned to address "public highway access through Hawaiian home lands," ROA Dkt. 94 at PDF 161. The Action Plan also acknowledged that "Hawaiian home lands have been taken for public use, in some instances, without any formal record of transaction or formal conveyance," *id.* at 142, and that "[n]one of the executive orders, governors' proclamations, unauthorized uses and land transfers that illegally or improperly involved Hawaiian home lands

[5] Following a lawsuit, an independent representative of native Hawaiian beneficiaries was also appointed to participate on the Task Force as the "sole representative of the beneficiary class," beginning in August 1993. Act 14, § 1, at 698.

was accompanied by compensation to the Hawaiian home lands trust for the withdrawal or use of the lands." *Id.* The Legislature found that the Action Plan met the intention of Act 395, and passed a concurrent resolution accepting and amending the Action Plan. Act 14 at §1.

The Task Force first convened in 1991, and through its efforts, the Legislature resolved several DHHL claims during the 1992 and 1993 legislative sessions. *Id.* Additionally, as a separate initiative in 1994, the Governor initiated the transfer of 16,518 acres of State lands to the Hawaiian home lands trust. *Id.* Regarding the resolution of issues related to the use of Hawaiian home lands for public purposes, the Task Force presented to the Legislature in the 1995 session a Final Report, which included a Memorandum of Understanding (MOU) signed by all parties on the Task Force, including the independent representative. *See* Act 14 at § 1, 697; *see also* ROA Dkt. 95 at PDF 2-30, 34-41. The Final Report recommended to the Legislature "a packaged approach to the resolution of the remaining claims," including an "[e]xchange of lands to resolve uses of Hawaiian home lands for roads and highways." ROA Dkt. 95 at PDF 6.

Specifically as it relates to this case, the Final Report recommended that the State provide "[c]ompensation of all remaining confirmed uncompensated public uses of Hawaiian home lands, including . . . (c) [a] land exchange to remedy uncompensated use of the DHHL lands for State roads and highways." *Id.* at PDF 24. The MOU attached to the Final Report reflected the same intent to resolve use of Hawaiian home lands for public roads. See *id.* at PDF 38 ("The task force will initiate a land exchange to remedy uncompensated use of Hawaiian home lands for state roads and highways."). The intent behind the MOU was that it would become binding upon the Legislature's enactment of appropriate legislation, and at such time, remaining claims regarding the DHHL lands would be resolved. *Id.* at PDF 40.

4. *Act 14*

The same year that the Task Force presented its Final Report – 1995 – the Legislature did exactly that and enacted Act 14. At the outset, the Legislature noted that Act 14 was intended to resolve not just improper withdrawals of Hawaiian home lands by the State and territorial governments, but also improper use of trust lands: "The legislature . . . finds that thousands of

acres of Hawaiian home lands were allegedly used, disposed of, or withdrawn from the trust by territorial or state executive actions in contravention of the HHCA." Act 14, §1. The Legislature also explained that it intended Act 14 to be a final resolution of the Hawaiian home lands controversies addressed by the Task Force and the Governor's Action Plan:

> The legislature by this Act hereby takes these measures to bring the desired closure, to fully effectuate in part the intent of S.C.R. No. 185, H.D. 1, 1991 and the governor's Action Plan, and to fully effectuate the legislature's intent of final disposition of the matters addressed by this Act.

Id.; *see also id.* §2 ("The primary purposes of this Act are to: (1) Resolve all controversies relating to the Hawaiian home lands trust which arose between August 21, 1959 and July 1, 1988; (2) Prohibit any and all future claims against the State resulting out of any controversy relating to the Hawaiian home lands trust which arose between August 21, 1959 and July 1, 1988[.]").

In addition to several other initiatives,[6] Act 14 provided that "[t]he State, while not admitting the validity of any claims, hereby resolves and satisfies all controversies and claims encompassed by this Act by . . . (2) . . . the initiation of a land exchange to remedy uncompensated use of Hawaiian home lands for state roads claims and highways[.]" *Id.* §6(2). The passage of the Act was intended to be "in full satisfaction and resolution of all controversies at law and in equity . . . arising out of or in any way connected with the management, administration, supervision of the trust" between August 21, 1959 and July 1, 1988. *Id.* §4. To that end, the Legislature gave Act 14 the effect of res judicata as to such claims:

> The passage of this Act shall have the effect of res judicata as to all parties, claims, and issues which arise and defenses which have been at issue, or which could have been, or could in the future be, at issue, which arose between August 21, 1959 and July 1, 1988, whether brought against the State or its officials, directly or indirectly, by subrogation, derivative or third party action, tender, federal action, or by any other means whatsoever.
>
> Act 14, §4 (emphasis in original).

[6] For example, Act 14 mandated "[t]he establishment of the Hawaiian home lands trust fund and the requirement that the State make twenty annual deposits of $30,000,000, or their discounted value equivalent, into the trust fund." Act 14, §6(1).

Although Act 14 barred breach of trust claims as to these controversies, the Legislature nevertheless provided a means of relief as to the provisions of Act 14, making actions to enforce the provisions of the Act the exclusive remedy:

> Notwithstanding any other law to the contrary, the State and its officials, the members of the board, the members of the Commission and the independent representative shall not be subject to suit by any party on any decision relating to the resolution of these claims, except for actions to enforce the provisions of this Act.

Id. §17.

By June 30, 2015, the State had satisfied the funding component of Act 14[7] and had transferred several thousand acres of land to DHHL.[8] ROA Dkt. 95 at PDF 112-113 (DHHL submittal to HHC, Jan. 2019). As of 2019, completion of parts of Act 14's land transfer and exchange requirements remained outstanding, including compensation of approximately 346.203 acres to satisfy the act's roads and highways land exchange requirement. *Id.* DHHL and other State agencies are working on finalizing outstanding matters under Act 14, including finalizing review of whether the Hawaiian home lands trust has in fact received sufficient lands to satisfy Act 14. *See* ROA Dkt. 95 at PDF 131-32 (DHHL Media Statement re Seeking Act 14 Private Counsel).

B. Procedural History

In September of 2019, Plaintiffs sent to DOT, the Commission, and the Department of the Attorney General a "Sixty-day Notice of Intent to Sue For Trust Breaches in Absence of Corrective Action Related to Land Exchanges to Compensate for Illegally Taken Streets and Roads." ROA Dkt. 87 at PDF 48-50. The notice stated that Plaintiffs intended to sue for breaches

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[7] Satisfaction of Act 14's funding component included establishment of the Hawaiian home lands trust fund; twenty annual deposits of $30,000,000 into the trust fund; payment of $2,348,558 as advance rent for continued use of trust lands under Nanaikapono Elementary School; payment of $2,390,000 for the State's uncompensated use of trust lands between 1959 and 1995; and payment of $1,539,000 to DHHL for use of land in Hanapepe, Kaua‘i. ROA Dkt. 95 at PDF 112-13.

[8] As of 2019, of the 16,518 acres of useable land for which the State had initiated transfers in 1994, see *id.* at 113; Act 14 §1, just under 697 acres remained pending transfer completion. ROA Dkt. 95 at PDF 113.

of trust based in large part on alleged failures to implement the terms of Act 14. See *id.* at PDF 48 ("[W]ith the passage of Act 14, the State of Hawai‘i pledged to enter into land exchanges to compensate the HHCA trust for 346 acres of land, which it, through its various agents, illegally took."); *id.* ("These omissions constitute another series of new and independent breaches of trust for failure to implement the terms of Act 14, which were designed to fully and finally remedy the breaches of trust associated with the taking of these same trust lands.").

Plaintiffs filed their operative First Amended Complaint (FAC) on February 20, 2020, asserting two counts: (1) breach of trust against the DHHL Defendants, and (2) breach of trust against the State. ROA Dkt. 12 at PDF 8-11 (FAC). Plaintiffs seek declaratory and injunctive relief, and damages. Specifically, they seek a declaration that the State has breached its trust duties by using the land underlying MKAR without compensation (and that DHHL has breached its trust duties by failing to redress such use); the return of control of the MKAR from DOT to DHHL; and damages to remedy the uncompensated use of trust lands for the MKAR. *Id.* at PDF 11-12.

Defendants filed a Motion to Dismiss the FAC on several grounds. First, that pursuant to Act 395 the State had not waived its sovereign immunity as to Plaintiffs' breach of trust claims. ROA Dkt. 54 at 8-10. Second, that Act 14 separately barred Plaintiffs' claims because it "resolved all claims regarding the Hawaiian home lands trust, including the use of Hawaiian home lands as state roads and highways," and made enforcement of the land exchange provision the exclusive remedy. *Id.* at PDF 10-11. Finally, Defendants argued that Plaintiffs lacked standing to challenge the 2018 designation of MKAR as a state highway. *Id.* at PDF 12-13. The circuit court denied the State's motion at the hearing held May 8, 2020. ROA Dkt. 82. Defendants thereafter answered the FAC and filed a First Amended Answer on May 28, 2020. ROA Dkt. 76, 80.

Plaintiffs later filed their Motion for Partial Summary Judgment (MPSJ), seeking an order granting their requested declaratory relief. ROA Dkt. 84-87; *see also* OB at 10. Defendants

filed a Memorandum in Opposition, ROA Dkt. 92-95, asserting the same arguments they had raised in the earlier Motion to Dismiss, plus two additional arguments: (1) Plaintiffs could not maintain an HRS chapter 673 breach of trust claim because they had failed to exhaust administrative remedies under HRS § 673-3; and (2) Plaintiffs had failed to present evidence that the State was in breach of its trust obligations regarding MKAR. ROA Dkt. 92 at PDF 21-24.

Following a hearing, *see* ROA Dkt. 106 (Aug. 4, 2020 Transcript), the circuit court denied Plaintiffs' motion, ruling that Act 14 "plain[ly] and unambiguous[ly]" barred their claims:

> Based on the plain and unambiguous language of Act 14, the Court finds the intent of the Legislature clear: upon enactment, Act 14 fully and finally resolved the claims referenced therein, including the "uncompensated use of Hawaiian home lands for state roads claims and highways," which arose between August 21, 1959 and July 1, 1988.
>
> …
>
> Moreover, the State's designation of MKAR as a State Highway in March 2018 does not take Plaintiffs' claims outside Act 14 and give them the right to the requested relief pursuant to HRS ch. 673. Claims and controversies related to the "management, administration . . . or disposition" of the trust lands underlying MKAR arose before July 1, 1988. Efforts to pave and improve MKAR began in the mid to late 1960s and continued through the early 1970s. When completed in 1974, pursuant to an agreement with DHHL, the County maintained MKAR, and the public has used the road for more than 50 years. No compensation has ever been paid for use of the trust lands underlying MKAR. It is that uncompensated use of Hawaiian home lands that warranted MKAR's inclusion into the land exchange contemplated by Act 14. Upon passage of Act 14, the contemplated land exchange was in full satisfaction and resolution of all controversies or claims related to the home lands underlying MKAR.
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> ROA Dkt. 126 at PDF 6-8 (Order Denying Plaintiffs' MPSJ) (emphasis in original).

The circuit court later entered final judgment in favor of Defendants, ROA Dkt. 161 (Final Judgment), and Plaintiffs timely appealed, *see* CAAP Dkt. 1 (Notice of Appeal).

III. STANDARD OF REVIEW

A. Summary Judgment

"[I]n reviewing summary judgment decisions, an appellate court steps into the shoes of the trial court and applies the same legal standard as the trial court applied." *Citizens for Equitable & Responsible Gov't v. Cnty. of Hawai'i*, 108 Hawai'i 318, 321–22, 120 P.3d 217,

220–21 (2005) (quoting *Beamer v. Nishiki*, 66 Haw. 572, 577, 670 P.2d 1264, 1270 (1983) (cleaned up)). As such, "[s]ummary judgment is appropriate if the pleadings, depositions, and answers to interrogatories, and admissions on file, together with the affidavits, if any, show that there is no genuine issue of material fact and the moving party is entitled to a judgment as a matter of law." *Id.* (quoting *Pac. Int'l Serv. Corp. v. Hurip*, 76 Hawai'i 209, 213, 873 P.2d 88, 92 (1994)).

B. Statutory Interpretation

A trial court's conclusions of law are reviewed de novo under the right/wrong standard. *Id.* (citing *Fujimoto v. Au*, 95 Hawai'i 116, 137, 19 P.3d 699, 720 (2001)). "Statutory interpretation is a question of law reviewable de novo." *Hawaiian Dredging Constr. Co., Inc. v. Fujikawa Assocs., Inc.*, 142 Hawai'i 429, 433, 420 P.3d 360, 364 (2018) (quoting *State v. Wheeler*, 121 Hawai'i 383, 390, 219 P.3d 1170, 1177 (2009) (internal quotation marks omitted). This court's construction of statutes is guided by the following rules:

> First, the fundamental starting point for statutory interpretation is the language of the statute itself. Second, where the statutory language is plain and unambiguous, our sole duty is to give effect to its plain and obvious meaning. Third, implicit in the task of statutory construction is our foremost obligation to ascertain and give effect to the intention of the legislature, which is to be obtained primarily from the language contained in the statute itself. Fourth, when there is doubt, doubleness of meaning, or indistinctiveness or uncertainty of an expression used in a statute, an ambiguity exists.

Id. at 433-34, 420 P.3d at 364-65 (quoting *Wheeler*, 121 Hawai'i at 390, 219 P.3d at 1177).

IV. ARGUMENT

The circuit court correctly found that Act 14 unambiguously bars Plaintiffs' claims. For the reasons explained fully below, this Court should affirm on the same grounds. In addition, as a separate and alternative legal basis upon which this Court may affirm,[9] Plaintiffs' claims are

[9] This Court may affirm "on any ground in the record that supports affirmance," even if the lower court relied on a different ground or theory. *Poe v. Hawai'i Lab. Rels. Bd.*, 87 Hawai'i 191, 197, 953 P.2d 569, 575 (1998). Of course, if this Court should affirm on the same grounds as the circuit court – i.e., that Act 14 bars Plaintiffs' claims – then there is no need to even reach this alternative argument.

barred by the State's sovereign immunity, which was expressly preserved in Act 395 for breach of trust claims arising before July 1, 1988 and in regard to governmental activities beginning before that date and continuing after.

A. Act 14 Bars Plaintiffs' Claims

1. *Act 14 resolved breach of trust claims regarding the use of MKAR as a public road*

In no uncertain terms, Act 14 provided a full and final resolution to breach of trust claims involving the management, supervision, or disposition of trust lands by the State that arose between August 21, 1959, and July 1, 1988. Moreover, the Act expressly stated that it would "have the effect of res judicata" as to such claims:

> The passage of this Act is in full satisfaction and resolution of all controversies at law and in equity, known or unknown, now existing or hereafter arising, established or inchoate, arising out of or in any way connected with the management, administration, supervision of the trust, or disposition by the State or any governmental agency of any lands or interests in land which are or were or are alleged to have been Hawaiian home lands, or to have been covered by the HHCA arising between August 21, 1959 and July 1, 1988.
>
> The passage of this Act shall have the effect of res judicata as to all parties, claims, and issues which arise and defenses which have been at issue, or which could have been, or could in the future be, at issue, which arose between August 21, 1959 and July 1, 1988, whether brought against the State or its officials, directly or indirectly, by subrogation, derivative or third party action, tender, federal action, or by any other means whatsoever.

Act 14, §4 (emphasis in original); *see also Kalima*, 111 Hawai‘i at 112, 137 P.3d at 1018 (Act 14's "plain language expresses a clear intent to settle all 'title-related' claims").

There is no question that breach of trust claims regarding MKAR fall under Act 14's full and final resolution. The road was built by the State in the 1970s when it appropriated substantial sums of money to construct a "two-lane highway." The MKAR has been in public use near continuously since then. The State has acknowledged that for many years the public use of the MKAR on Hawaiian home lands went uncompensated. In other words, it is beyond dispute that between August 21, 1959, and July 1, 1988, the State put the Hawaiian home lands underlaying MKAR into use for a public purpose, without compensation. But it is precisely that

uncompensated use that the Legislature remedied through the passage of Act 14. And Plaintiffs even acknowledge in their complaint that their claims "aris[e] out of or [are] . . . connected with the management, administration, supervision of the trust, or disposition by the State" of lands in the Hawaiian homes trust, as Act 14 specifies. In their complaint, Plaintiffs allege:

> 106. As trustees, State Defendants are liable for their continued use of the MKAR without paying rent to DHHL Defendants since July 1, 1988.
>
> 107. Since that date, State Defendants have breached their trust duties by failing to timely pay compensation for their use of Hawaiian home lands trust lands underlying the MKAR.
>
> 108. These breaches of trust result from the acts or omissions of State Defendants' agents, officers, and employees in the management and disposition of trust resources of the Hawaiian home lands trust.
>
> ROA Dkt. 12 at PDF 10 (FAC) (emphasis added).

These allegations are simply not consistent with Plaintiffs' current arguments that Act 14 does not apply. They allege that their breach of trust claims arose out of the State's management and disposition of trust resources, and that the breaches started on July 1, 1988. But nothing happened on July 1, 1988 that would signify the beginning of the breach or the arising of Plaintiffs' claims. In other words, Plaintiffs' claims plainly arose prior to July 1, 1988, and Plaintiffs' adoption of that date as the beginning of their breach of trust claims is purely an artfully pled attempt to avoid Act 14's preclusive effect.[10]

Plaintiffs also run afoul of Act 14 because they have failed to seek the sole remedy that the act permits. Section 6 of Act 14 provides the specifics as to how the Act "resolve[d] and satisfie[d] all controversies and claims encompassed by [the] Act." Act 14, §6. In addition to requiring the State to establish a trust fund, *see* Act 14, §6(1), it provided for the initiation of several land transfers and exchanges. With respect to roads and highways, the Act required "the initiation of a land exchange to remedy uncompensated use of Hawaiian home lands for state roads claims and highways." Act 14, §6(2).

[10] For reasons discussed further, *infra* Part IV.A.i, Plaintiffs' allegations that the breaches of trust began on July 1, 1988 are also inconsistent with their current arguments that the breaches did not begin until 2018. *See, e.g.,* OB at 27-28.

Importantly, Act 14 made the enforcement of the land exchange the exclusive remedy for claims falling under the Act's purview. *See* Act 14, §17 ("Notwithstanding any other law to the contrary, the State and its officials, the members of the board, the members of the Commission . . . shall not be subject to suit by any party on any decision relating to the resolution of these claims, except for actions to enforce the provisions of this Act." (Emphasis added)). Enforcing the land exchange provision of Act 14, however, is the one remedy that Plaintiffs do not seek. *See* ROA Dkt. 12 at PDF 11-12 (First Amended Complaint) (seeking declarations that Defendants have "breached their trust obligations by using Hawaiian home lands underlying the MKAR without compensation," that "control over the Hawaiian home lands underlying the MKAR rests solely with the DHHL Defendants," that "the MKAR is not a state highway," orders for monetary damages, and orders enjoining State DOT "from asserting control or authority over the MKAR," and from declaring MKAR to be a state highway). Plaintiffs have even expressly acknowledged that they do not want to enforce Act 14's land exchange provision, despite their apparent recognition that the land exchange initiated by Act 14 applies to MKAR. As Plaintiffs' counsel stated at the hearing on Plaintiffs' MPSJ:

> This case is about what happened between 1988 – or – or specifically between the passage of Act 14 and now, what happens in the middle, and there's a lot to be concerned with, with the lack of movement on the transaction contemplated by Act 14. But, again, that's not what this case is about so that remedy that – that is apparently available is not an administrative remedy for the claims of plaintiffs because they're not seeking to enforce a land exchange.
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> ROA Dkt. 106 at PDF 69 (Aug. 4, 2020 Transcript).

In short, Plaintiffs believe that they can avoid Act 14's preclusive effect by simply not asking the court to enforce the land exchange provision, and that they may continue to bring breach of trust claims until the land exchange provisions of Act 14 are fully completed (i.e., during the "middle," as Plaintiffs' counsel and the circuit court phrased it).[11] But this theory is

[11] Plaintiffs' characterizations of their claims have been inconsistent throughout this litigation. They have at times characterized the alleged breach of trust as being based on a failure to implement the terms of Act 14, *see, e.g.,* ROA Dkt. 87 at PDF 48 (Notice of Intent to Sue) (describing a "series of new and independent breaches of trust for failure to implement the terms

antithetical to the plain terms of Act 14. Even were it not for the exclusive remedy provision in section 17, there is nothing in Act 14 that requires relinquishment of control over the MKAR (or any other public road) back to DHHL. Indeed, that was plainly not the Act's intent, because one of the express purposes of Act 14 was to bring claims like this to final resolution to prevent "disruption of public purposes." Act 14, §1. In other words, Act 14 was intended to provide compensation and final settlement for the use of Hawaiian home lands for public purposes, without disrupting those public uses or otherwise requiring them to end.

That purpose is especially important here, where the relief Plaintiffs request – i.e., the transfer of control over a public road from DOT to DHHL – would surely disrupt the public use of MKAR. Even if Plaintiffs do not wish for DHHL to close MKAR, DHHL's plans for the Hawaiian home lands in the Humu'ula area neither "contemplate . . . DHHL's control of the [MKAR]," nor "consider, contemplate, account, or budget for the liabilities and other costs associated with the control, repair and maintenance of MKAR." ROA Dkt. 93 at PDF 5 (Choy Dec.). And the powers available to DOT and the counties that are necessary to exert proper authority over public roads, *see, e.g.*, HRS § 264-1.5 ("Emergency powers; traffic emergency zones"), are simply not available to DHHL because nothing in the HHCA grants DHHL any kind of police power or other authority over highways.

In essence, Plaintiffs are attempting to relitigate the exact type of controversy that the Legislature resolved via Act 14. And the fact that the Legislature provided a remedy – i.e., to enforce the terms of Act 14 – belies Plaintiffs' assertion that "the circuit court's decision . . .

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of Act 14"), and at other times as having nothing to do with Act 14, *see, e.g.,* OB at 15 ("Act 14 did not preclude Plaintiffs' claims or their entitlement to summary judgment. Act 14 resolved only those claims that existed between August 21, 1959 and July 1, 1988, and the State's taking of the Access Road through its designation of it as a State highway occurred forty years after that period."). At yet other times, they have taken a middle ground and suggested that while they have brought breach of trust claims here, they would be free to bring a separate suit to enforce Act 14's terms. *See* ROA Dkt. 106 at PDF 30 (Aug. 4, 2020 Transcript) (Plaintiffs' counsel explaining that Plaintiffs are "not happy with the failure to . . . consummate the . . . agreement which occurred via Act 14 and they would be able, under Act 14, to sue to enforce. That . . . would be their . . . decision but that's out of the . . . realm of this case.").

would close the courthouse doors to beneficiaries who wish to end ongoing breaches of trust . . . .” OB at 30. Rather, it is Plaintiffs’ own decision to forgo that remedy and seek one that is plainly barred that is the cause of their frustration; not the circuit court’s decision.

2. *The 2018 designation of MKAR as a state highway does not take Plaintiffs’ claims outside of Act 14’s scope*

In an attempted end run around Act 14’s plain terms, Plaintiffs assert that it was not until 2018 – when DOT designated MKAR as a state highway – that their breach of trust claims arose. However, the entity that asserted jurisdiction and control over MKAR at any given time, either the State or the County of Hawai‘i, is of no relevance to whether the claims arose prior to July 1, 1988 because Plaintiffs’ breach of trust claims stem from the uncompensated use of MKAR as a public road, which indisputably started prior to July 1, 1988 and continues to the present day. It simply makes no difference, and certainly does not create a new actionable claim, that the management of MKAR changed from the County to the State in 2018.

Plaintiffs’ attempts to avoid Act 14’s preclusive effects by directly challenging the 2018 designation of the road as a state highway also fail for several other reasons. First, the statute under which DOT made the designation and under which Plaintiffs challenge the same – HRS § 264-42 – does not provide Plaintiffs with any private right of enforcement action. Second, even if such a right existed, Plaintiffs lack standing to challenge the 2018 state highway designation.

a. *The 2018 Designation of MKAR as a state highway is untethered from Plaintiffs’ claimed injury*

As an initial matter, Act 14’s resolution of controversies applied to public uses of Hawaiian home lands by any arm or subdivision of the State. So, it made no difference whether the road was under the jurisdiction of the State or the County. Although section 6(2) of Act 14 referred to “state roads claims and highways,”[12] the Act expressly included the counties in the definition of the “State.” *See* Act 14, §3 (“‘Governmental agency’ or ‘State’ means the State of

[12] Notably, Act 14 makes no reference to HRS chapter 264, and does not use the terms “state highway” or “county highway” at all. There is, in other words, no indication that the Legislature intended for Act 14 to be limited in scope by HRS chapter 264, making Plaintiffs reliance on that chapter irrelevant to the question of whether Act 14 bars their claims.

Hawaii, municipal or county governments, or any department, bureau, division, agency or political subdivision thereof, or any board, commission, or administrative agency thereof."). Thus, trust claims regarding MKAR, which had been built by the State in the 1970s but by the time of Act 14's passing was under the jurisdiction of the County of Hawai'i, were unquestionably included in Act 14's road claims resolution.

Plaintiffs do not dispute this, but instead assert that the State's designation of MKAR as a state highway in 2018 created an entirely new breach of trust cause of action. *See* OB at 27-28 ("Act 14 only resolved breaches of trust related to the mismanagement of trust lands that occurred between August 21, 1959 and July 1, 1988. Plaintiffs' claims concern the breaches of trust that occurred forty years later in 2018—acts and omissions related to the designation of the Access Road for inclusion into the State Highways System."). But the erroneousness of this theory is laid bare by even a cursory look at Plaintiffs' alleged injuries and alleged "[d]amages [r]esulting from State Defendants' [b]reach of [t]rust":

> 71. The State Defendants use of Hawaiian home lands trust lands underlying the MKAR depleted the trust of both land and revenue.
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> 72. The Hawaiian home lands trust was damaged as a result of the lost land and revenue, and potential associated interest or profit, which would have otherwise been paid to or included in the Hawaiian home lands trust.
>
> 73. The total compensation for use of the MKAR since 1988 through the present and continuing through final judgment in this action exceeds the jurisdictional minimum in an amount to be proven at trial.
>
> …
>
> 103. State Defendants have breached their trust duties by taking and using Hawaiian home lands trust lands without compensation.
>
> …
>
> 106. As trustees, State Defendants are liable for their continued use of the MKAR without paying rent to DHHL Defendants since July 1, 1988.
>
> 107. Since that date, State Defendants have breached their trust duties by failing to timely pay compensation for their use of Hawaiian home lands trust lands underlying the MKAR.

> 108. These breaches of trust result from the acts or omissions of State Defendants' agents, officers, and employees in the management and disposition of trust resources of the Hawaiian home lands trust.
>
> ROA Dkt. 12 at PDF 7-10 (First Amended Complaint).

It is readily apparent from their allegations that Plaintiffs' injuries and breach of trust claims stem from the uncompensated use of MKAR as a public road in general, and not its designation as a "state highway" in 2018. Any doubt about this is surely erased by Plaintiffs' assertion that the State is liable for its "continued use of the MKAR without paying rent to DHHL Defendants since July 1, 1988." *Id.* (emphasis added). Of course, if Plaintiffs' claims truly "concern [only] the breaches of trust that occurred forty years later in 2018," OB at 28, and only "arose" at that time, as Plaintiffs assert, *id.* at 27, Plaintiffs would not, and could not, claim that the State's liability for unpaid rent extends back to 1988. It makes no sense for Plaintiffs to simultaneously assert on one hand that the alleged breaches began on July 1, 1988, and on the other that "there is no way that Plaintiffs' claims could have been brought or otherwise resolved 40 years before Defendants first committed the subject breaches of trust [in 2018]."

Plaintiffs make no attempt to explain this paradox. And in any event, if Plaintiffs' claims did somehow arise in 1988, immediately after the enactment of Act 14, they would be time-barred by HRS § 673-10, which provides that a suit for breach of trust must be filed within two years "after the cause of action first accrues."[13] However, there is nothing in the record that would indicate any change in circumstances in 1988 *vis-à-vis* MKAR that would trigger Plaintiffs' claims, because MKAR remained in use as a public road and under county maintenance jurisdiction between 1974 and 2018. Since the only significance of July 1, 1988 is that claims arising prior are barred, Plaintiffs' assertions of liability extending back to July 1, 1988 appear to be an implicit acknowledgment that the claims actually arose prior to that date, which of course means they are precluded by Act 14.

[13] Plaintiffs did not file their initial complaint until February 13, 2020. ROA Dkt. 1.

The only attempt Plaintiffs have made to explain how the 2018 designation caused any separate harm aside from the general public use of MKAR, is that it "caused real and tangible harm to Plaintiffs and other trust beneficiaries through (1) the State Defendants' closure of the MKAR for five months, . . . and (2) the failure to compensate the trust for the State's use and control of trust lands following the 2018 designation." ROA Dkt. 97 at PDF 10 (Plfs. Reply in Support of MPSJ). The second of these, as an alleged basis for the claims accruing in 2018, is nonsensical, because in the very same document, Plaintiffs assert that the County of Hawai'i also asserted "improper control over the MKAR" between 1983 and 2018. *Id.* at PDF 9-10. If the "improper control" over MKAR was ongoing prior to 2018, then exactly the same (alleged) harm continued unabated after the State took over responsibility for the road after 2018. And again, Act 14 made no distinction as to public uses being made by the State versus the county governments in its final resolution of controversies. *See* Act 14, §3 (including "county governments" in the definition of the "State").

As to the claim that DOT's "closure of the MKAR for five months" harmed them, Plaintiffs offer no explanation or allegation as to how the closure of the MKAR could form the basis for a breach of trust claim. Plaintiffs' complaint references the temporary closure of the road, *see* ROA Dkt. 12 (FAC ¶65), but the only "damages" Plaintiffs allege are entirely disconnected since they involve only the "deplet[ion] of the trust" and the failure to pay compensation for the use of the trust lands. *Id.* at ¶¶70-73. In any event, there are no trust duties implicated by the temporary closure of MKAR. The only harm that could conceivably result to Plaintiffs as a result of the closure of MKAR would be a temporary inability to reach the summit of Mauna Kea. But the summit of Mauna Kea is not on Hawaiian home lands. And nothing in the HHCA – which forms the basis of Plaintiffs' trust claims, see *id.* at ¶6 – provides any right to access the summit or establishes any trust duty for the State to provide access to the summit.

Thus, whether MKAR is controlled by the State or the County is inconsequential to Plaintiffs' breach of trust claims and the harms that allegedly arise from those claimed breaches.

As a result, Plaintiffs have not demonstrated that the circuit court was wrong to conclude that their claims arose prior to July 1, 1988 and are barred by Act 14.

b. ***Plaintiffs have no private right of action to challenge the 2018 designation of MKAR as a state highway under HRS § 264-42***

Even if it were somehow relevant to their breach of trust claims, Plaintiffs have no right to challenge the 2018 designation of MKAR as a state highway under HRS §264-42 because that statute does not create any private right of enforcement action, either expressly or implicitly. Although not asserted as a separate cause of action,[14] Plaintiffs argue that DOT's 2018 designation of MKAR violated HRS § 264-42, which provides:

> The director of transportation acting in cooperation with appropriate federal and county agencies, may designate for inclusion in the state highway system, such other public highways, including county highways, which are used primarily for through traffic and not for access to any specific property, whether residential, business, or other abutting property.
>
> HRS § 246-42.

"[R]equirements imposed by statutes do not necessarily give rise to a private right of action." *Flores v. Logan*, 151 Hawai'i 357, 368, 513 P.3d 423, 434 (2022) (quoting *Hungate v. Law Office of David B. Rosen*, 139 Hawaii 394, 405, 391 P.3d 1, 12 (2017)). And even if a party brings an action for declaratory relief to enforce a statute, that statute "must provide for an express or implied private right of action." *Id.* (quoting *Cnty. of Haw. v. Ala Loop Homeowners*, 123 Hawai'i 391, 407 n.20, 235 P.3d 1103, 1119 n.20 (2010)). Neither HRS § 264-42 (nor any other part of HRS chapter 264), provides an express private right of action. Nevertheless,

> [i]n determining whether a private remedy is implicit in a statute not expressly providing one, several factors are relevant. First, is the plaintiff one of the class for whose [e]special benefit the statute was enacted; … that is, does the statute create a … right in favor of the plaintiff? Second, is there any indication of legislative intent, explicit or implicit, either to create such a remedy or to deny one? … Third, is it consistent with the underlying purposes of the legislative scheme to imply such a remedy for the plaintiff?

[14] It should be noted that Plaintiffs' FAC includes only two causes of action; both for breaches of the Hawaiian home lands trust. It goes without saying that HRS chapter 264 – which governs only the highways of the state – contains no trust duties vis-à-vis the Hawaiian home lands trust.

Flores, 151 Hawai‘i at 368, 513 P.3d at 434.

In *Flores*, the Court held that there was no private right of action under HRS § 52D-5. First, the Court stated that the statute was intended to "provide continuity to police investigations from one county jurisdiction to another," rather than for the special benefit of private citizens like Flores. *Id.* at 369, 513 P.3d at 435. Second, the Court noted that there was "no indication of legislative intent to create or deny a private right of action," and that because "strong evidence is necessary to imply a private right of action," without such evidence, it would "decline to infer" such a right. *Id.* Finally, the Court concluded that allowing an individual to sue police chiefs under HRS § 52D-5 would be inconsistent with "[t]he underlying purpose to ensure cooperative, mutual aid and assistance between the counties' chiefs of police to conduct investigations in each other's respective jurisdictions," because it "would interfere with the ability of police from different jurisdictions to cooperate and provide continuity to police investigations." *Id.*

For similar reasons, this Court should decline to recognize a private right of action under HRS § 264-42. The underlying purpose of that statute, which allows the State to designate roads as state highways, was to help the State satisfy an "acute need for more and better highways as a result of the growth in population and the increase in the number of automobiles . . . ." 1965 Haw. Sess Laws Act 159, at 215-16. The Legislature also noted when enacting HRS § 264-42, that the State "ha[d] embarked on a huge highway program committing millions of dollars over the coming years," and that "the responsibility for the construction, maintenance and general administration of all major thoroughfares is properly that of the State." *Id.*

The legislative history therefore indicates that the statute was intended not for the special benefit of individual private citizens such as Plaintiffs, but rather to give the State more flexibility in building and maintaining an adequate inventory of state highways. Like in *Flores*, there is no evidence, "strong" or otherwise, of an intent to create a private right of action. And like in *Flores*, allowing private suits to challenge state highway designations would be inconsistent with the statute's underlying purpose of allowing the State more flexibility to meet

the growing need for "more and better" highways, because it would hinder the State's ability to take over maintenance of highways in the state. Thus, Plaintiffs have no private right of action to enforce the State's designation of MKAR as a state highway in 2018.

c. ***Plaintiffs lack standing to challenge the 2018 designation of MKAR as a state highway***

Even if a private enforcement right existed to challenge the 2018 designation, Plaintiffs would still not have standing to do so. The Hawaii supreme Court in *Tax Foundation of Hawai'i v. State* ruled that although a party seeking declaratory relief need not satisfy the traditional three-part "injury-in-fact" test, there are nevertheless still "standing" requirements under HRS § 632-1 that must be satisfied. *See Tax Foundation of Hawai'i v. State*, 144 Hawai'i 175, 202, 439 P.3d 127, 154 (2019). Specifically,

> a party has standing to seek declaratory relief in a civil case brought pursuant to HRS § 632-1 (1) where antagonistic claims exist between the parties (a) that indicate imminent and inevitable litigation, or (b) where the party seeking declaratory relief has a concrete interest in a legal relation, status, right, or privilege that is challenged or denied by the other party, who has or asserts a concrete interest in the same legal relation, status, right, or privilege; and (2) a declaratory judgment will serve to terminate the uncertainty or controversy giving rise to the proceeding.
>
> *Id.* (emphasis added); *see also* HRS § 632-1(b).

At minimum, Plaintiffs cannot satisfy the second part of this standing test, i.e., that "a declaratory judgment will serve to terminate the uncertainty or controversy giving rise to the proceeding." Plaintiffs' claims regarding the 2018 designation, and their attempts to have MKAR declared not a state highway, are completely untethered from their claimed injuries and the controversy that gives rise to this case, namely the allegedly uncompensated use of MKAR as a public road. Plaintiffs allege that DHHL breached the trust "[b]y permitting the State Defendants' use of the MKAR for free," ROA Dkt. 12 at PDF 8 (FAC ¶84), and that "State Defendants have breached their trust duties by taking and using . . . trust lands without

compensation."[15] *Id.* ¶103. But a declaration invalidating the 2018 designation of MKAR as a state highway would neither resolve these alleged breaches nor provide any compensation (or the basis for any compensation) for the current or past public use of the road.

In short, any declaration that MKAR is not a state highway under HRS chapter 264 would not provide Plaintiffs with the relief they seek; specifically compensation to the Hawaiian home lands trust. The question of whether the trust has been properly compensated for the public use of Hawaiian home lands – the core controversy giving rise to this case – would remain unresolved.

B. Plaintiffs' Claims are Barred by the State's Sovereign Immunity

The doctrine of sovereign immunity bars suits against the State "for money damages, except where there has been a 'clear relinquishment' of immunity and the State has consented to be sued." *Sierra Club v. Dep't of Transportation of State of Hawai'i*, 120 Hawai'i 181, 226, 202 P.3d 1226, 1271 (2009), as amended (May 13, 2009) (quoting *Bush v. Watson*, 81 Hawai'i 474, 481, 918 P.2d 1130, 1137 (1996)). Generally, under the rule established in *Ex parte Young*, 209 U.S. 123 (1908), and adopted by the Hawai'i Supreme Court, relief against the State that is truly prospective in nature will be permitted even absent a clear relinquishment of immunity:

> we have adopted the rule in Young, which: makes an important distinction between prospective and retrospective relief. If the relief sought against a state official is prospective in nature, then the relief may be allowed regardless of the state's sovereign immunity. This is true even though accompanied by a substantial ancillary effect on the state treasury. However, relief that is tantamount to an award of damages for a past violation of law, even though styled as something else, is barred by sovereign immunity.
>
> *Id.* (quoting *Bush*, 81 Hawai'i at 481, 918 P.2d at 1137).

[15] Although Plaintiffs' assert two separate breaches of trust by separate entities – the State and DHHL – there is in fact only one true trustee, the State, which administers the Hawaiian home lands trust through DHHL. While any agency of the State can make actions or omissions that constitute a breach of trust, the responsibility is ultimately that of the State. *See, e.g., Kepo'o*, 87 Hawai'i at 97, 952 P.2d at 385 ("[T]he State has assumed a trust obligation regarding Hawaiian home lands and must manage and dispose of these lands in a manner consistent with its fiduciary duty to the beneficiaries."). Plaintiffs present a false dichotomy by alleging separate breaches of trust by the State and DHHL as though the two are entirely separate entities.

Here, the State has waived its immunity for breach of trust claims that arose after July 1, 1988. It has expressly preserved its immunity for claims that arose prior to that date. And although Plaintiffs request monetary damages and both declaratory and injunctive relief, their requested equitable relief is tantamount to an award of damages and is thus barred.

1. *Act 395 Preserved the State's sovereign immunity for breach of trust claims arising before July 1, 1988*

Act 395 provided a limited waiver of the State's sovereign immunity "for any breach of trust or fiduciary duty resulting from the acts or omissions of its agents, officers and employees in the management and disposition of trust funds and resources of . . . [t]he Hawaiian home lands trust[.]" Act 395 §2 (later codified in part as HRS chapter 673); *see also* HRS § 673-1. However, this waiver applied only to actions accruing after July 1, 1988. *Id.* at §3 ("This Act shall not apply to any cause of action which accrued . . . prior to July 1, 1988."); *see also Kalima v. State*, 111 Hawai'i 84, 88, 137 P.3d 990, 994 (2006) ("Act 395 provided a limited waiver of sovereign immunity . . . relating to breaches of the State's trust responsibilities occurring after July 1, 1988").

For all the reasons explained earlier in this brief, *see* Part IV.A, Plaintiffs' claims accrued prior to July 1, 1988, when the public use of MKAR began without compensation being paid to the trust. But Act 395 makes it even clearer that Act 395's limited waiver of immunity does not apply to Plaintiffs' claims. In section 4, Act 395 also provided that "[n]o action shall be maintained under this Act for any existing projects, programs, or any other governmental activities which are continuing, and which were begun, completed, or established prior to July 1, 1988." Act 395 §4. Thus, such actions are unambiguously exempted from Act 395's waiver of sovereign immunity.

MKAR is plainly an existing project that that was begun before July 1, 1998. Act 395 does not define "project," but in other statutory contexts, the term includes development and construction of infrastructure. *See, e.g.*, *Kahana Sunset Owners Ass'n v. Cty. of Maui*, 86 Hawai'i 66, 75, 947 P.2d 378, 387 (1997) (housing development and related infrastructure was a "project"

under the Hawaii Environmental Protection Act (HEPA)); *Sierra Club v. Office of Planning, State of Haw.*, 109 Hawai‘i 411, 415, 126 P.3d 1098, 1102 (2006) (same); *Citizens for Protection of North Kohala Coastline v. Cty. of Haw.*, 91 Hawai‘i 94, 104, 979 P.2d 1120, 1130 (1999) (hotel resort and related infrastructure was a HEPA “project”). There is no reason that the construction and continuing maintenance of MKAR is not similarly a “project.”

Even if MKAR somehow is not a “project” or “program” under Act 395, it would nevertheless fall into the catch-all language of section 4, i.e., “any other governmental activities which are continuing and which were begun, completed, or established prior to July 1, 1988.” There can be no doubt that the construction, maintenance, and operation of MKAR is an “activity” that began before July 1, 1988 and continued thereafter. *See, e.g.*, ROA Dkt. 94 at PDF 87 (County of Hawaii resolution describing the county’s “maintenance activities” on MKAR (emphasis added)). Thus, even if Plaintiffs’ claims somehow did not arise prior to July 1, 1988, they most certainly relate to a government activity that was begun before that date and which continued after. As such, the State has not waived its immunity for Plaintiffs’ breach of trust claims.

2. *Plaintiffs’ claims are for retrospective relief or monetary damages*

Much of Plaintiffs’ requested relief is unambiguously for monetary damages and is retrospective in nature. *See, e.g.,* ROA Dkt. 12 at PDF 7, 12 (FAC) (requesting “compensation for use of the MKAR since 1988 through the present” and “land and/or money damages to restore the Hawaiian home lands trust”). Such retrospective and monetary relief does not fall under the Ex Parte Young exception to sovereign immunity and is barred. *See Aged Hawaiians v. Hawaiian Homes Comm’n*, 78 Hawai‘i 192, 208 n. 26, 891 P.2d 279, 295 n. 26 (1995) (“[C]laimants cannot recover money damages or the equivalent for past violations of law.”).

Although the remainder of Plaintiffs’ requested relief is styled as declaratory/injunctive relief, “[s]imply asking for injunctive relief and not damages does not clear the path for suit.” *Kaho‘ohanohano v. State*, 114 Hawai‘i 302, 336, 162 P.3d 696, 730 (2007) (quoting *Bush*, 81 Hawai‘i at 481, 918 P.2d at 1137). “[R]elief that is ‘tantamount to an award of damages for a past

violation of law, even though styled as something else,' is barred by sovereign immunity." *Sierra Club*, 120 Hawai'i at 226, 202 P.3d at 1271 (quoting *Bush*, 81 Hawai'i at 481, 918 P.2d at 1137).

In determining whether sovereign immunity bars a request for injunctive relief, "the crucial inquiry is whether the relief sought for a past violation of law is 'tantamount to an award of damages' or would merely have an 'ancillary' effect on the state treasury." *Kaho'ohanohano*, 114 Hawai'i at 336, 162 P.3d at 730.

In *Pele Defense Fund v. Paty*, 73 Haw. 578, 837 P.2d 1247 (1992), the plaintiffs requested injunctive relief to restore to the public lands trust a parcel of ceded land that had been exchanged for private lands, arguing that the transfer constituted a breach of trust. *Id.* at 584-85, 837 P.2d at 1253. The Court held that the effect of this relief on the State treasury would be direct, not ancillary, and thus sovereign immunity barred the requested relief:

> PDF's request that the trust status of the exchanged lands be restored by means of a constructive trust is "essentially equivalent" to a nullification of the exchange and the return of the exchanged lands to the trust res. The effect on the state treasury would be direct and unavoidable, rather than ancillary, because imposing a constructive trust on lands now held by Campbell would require that the State to compensate Campbell for its property. *See* U.S. Const. amend. V; Haw. Const. art. I, § 20. We therefore hold that PDF's requested relief is, in effect, a request for compensation for the past actions of the BLNR members. All of PDF's claims against the defendant state officials which are based on the alleged illegality of the subject land exchange, on either constitutional or statutory grounds, are barred by the State's sovereign immunity.
>
> *Id.* at 611, 837 P.2d at 1267.

Here, Plaintiffs seek a declaration that MKAR is under the sole control and authority of DHHL, ROA Dkt. 12 at PDF 11, ¶C, an injunction preventing DOT from "declaring the MKAR to be a state highway, or otherwise relying on its determination that the MKAR is a state highway," *id.* at ¶J and a declaration that MKAR is not a state highway or a public highway at all. *Id.* at ¶D; PDF 10, ¶100. This requested relief is inherently intertwined with Plaintiffs' requests for monetary relief in the form of unpaid rent to compensate the trust. For example, Plaintiffs request that DOT be enjoined "from asserting control or authority over the MKAR unless and until [the State has] complied with [its] trust duties and the terms of the HHCA,"

namely, by paying for the allegedly "rent free use of the MKAR." *Id.* at PDF 11, ¶A. But as explained above, such monetary relief is itself barred by the State's immunity; Plaintiffs cannot disguise a demand for monetary relief by holding the road hostage and conditioning their requested injunctive/declaratory relief on payment of those damages. *See Green v. Mansour*, 474 U.S. 64, 73 (1985) ("[A] declaratory judgment is not available when the result would be a partial 'end run' around our decision in Edelman v. Jordan.").[16]

Moreover, a declaration that MKAR is not a public highway would place in serious doubt the State's ability to continue operating MKAR as a public road, essentially turning back the clock and undoing the vast amount of work that culminated in Act 14 resolving the legal status of public roads on Hawaiian home lands. Losing the ability to operate MKAR as a public highway would mean the public would lose the benefit of the road and the State's past expenditures on improving the road, and would require the expenditure of State funds to replace it.[17] This makes the present case similar to *Pele Defense Fund*, where the Court found that restoration of the exchanged trust lands was "in effect, a request for compensation for the past actions of the BLNR members." *Pele Defense Fund v. Paty*, 73 Haw. at 611, 837 P.2d at 1267.

In the same vein, Plaintiffs' attempts to have MKAR's "public highway" status extinguished makes this case distinguishable from *Office of Hawaiian Affairs v. Housing and Community Development Corp. of Hawaii*, 17 Hawai'i 174, 177 P.3d 884 (2008), rev'd and remanded sub nom. *Hawaii v. Off. of Hawaiian Affs.*, 556 U.S. 163 (2009) ("OHA"). In OHA, this Court held that reversing a land transfer from one state agency (Department of Land and Natural Resources (DLNR)) to another (the Housing Finance and Development Corporation (HFDC)) would not be tantamount to a damages award for a past violation, even though HFDC

[16] In *Edelman v. Jordan*, 415 U.S. 651, 668 (1974), the United States Supreme Court held that a "retroactive award of monetary relief as a form of 'equitable restitution,' . . . is in practical effect indistinguishable in many aspects from an award of damages against the State," and is barred, in federal court, by a state's Eleventh Amendment Immunity.

[17] As noted *supra*, Part II.A.2, in 1970, the Legislature appropriated $2,298,000 for the "[c]onstruction of a two-lane highway" on MKAR between Puu Huluhulu and Hale Pohaku.

had spent $31 million on building infrastructure on the land. *Id.* at 199-200, P.3d at 909-10. The Court distinguished *Pele Defense Fund* because requiring HFDC to return the parcel to DLNR would mean the land remained under the State's control, albeit under the jurisdiction of a different agency. *Id.* at 200, P.3d at 910. Specifically, this Court stated that this did not result in a direct effect on the State's treasury because "the benefit of the $31 million expenditure by HFDC on infrastructure remains with the State" after reversing the transfer, and that "the return of the property . . . effectively changes nothing" because it would remain with the State. *Id.*

That would not be the case here. Although DHHL and DOT are both State agencies, Plaintiffs' request to have MKAR returned to the control of DHHL is contingent on a declaratory ruling that MKAR is not a public highway. *See* ROA Dkt. 12 at PDF 6 (Complaint ¶55); *id.* at PDF 11 (Prayer for Relief ¶D). Thus, unlike in OHA, granting Plaintiffs' requested equitable relief here would extinguish the benefit of MKAR to the public as a public road, and the benefit to the State of its expenditures in constructing the road. And taking this case even further afield from OHA is the fact that Plaintiffs seek to extinguish the public benefit of MKAR as a public highway "unless and until [State Defendants] have complied with their trust duties and the terms of the HHCA," ROA Dkt. 12 at PDF 12 (Prayer for Relief ¶I), which, stated differently, means until monetary compensation is paid to the Hawaiian home lands trust, see *id.* at ¶B ("State Defendants have breached their trust obligations by using Hawaiian homes lands underlying the MKAR without compensation to the Hawaiian home lands trust and in violation of the HHCA").

Thus, even though Plaintiffs seek a transfer of control over MKAR from one State agency to another, OHA does not control here. Because Plaintiffs essentially seek to hold the MKAR hostage until the State pays damages for the allegedly uncompensated past use of the road, their requested relief would have a direct and unavoidable effect on the State treasury. Their relief is therefore barred by the State's sovereign immunity.

As noted earlier, however, this does not leave beneficiaries of the trust without a remedy. The Legislature provided a remedy for beneficiaries by permitting actions to enforce the terms of Act 14. Again, Plaintiffs here have simply declined to seek this remedy.

V. RELEVANT STATUTORY PROVISIONS

The relevant statutory provisions are set out in Appendices A-C.

VI. CONCLUSION

For all these reasons, this Court should affirm the circuit court's judgment.

DATED: November 2, 2022

Department of the Attorney General

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